

03 Regulation

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2026 objectives: 2.1

10 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CA1-P1 September 2010 Q3	11 marks
CA1-P1 September 2010 Q4	12 marks
CA1-P1 September 2014 Q6	18 marks
CA1-P1 September 2016 Q3	11 marks
CA1-P1 September 2018 Q6	18 marks
CP1-P1 September 2020 Q9	20 marks
CP1-P1 April 2021 Q1	5 marks
CP1-P1 April 2022 Q1	5 marks
CP1-P1 September 2024 Q1	5 marks

CA1-P1 | September 2010 | Q3

[Current topic](#) | [11 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 3**
- (i) Explain why the financial markets of developed economies are regulated. [4]
 - (ii) Outline why some financial products may not be subject to regulation. [2]
 - (iii) Discuss the advantages and disadvantages of using statutory regulation for all products in the financial markets. [5]
- [Total 11]

CA1-P1 | September 2010 | Q4

Current topic | 12 marks total | Original PDF p2

Related: Ch 22.

- 4** An insurance company offers mortgage payment protection insurance. The policies provide a benefit in the form of income payable for up to 24 months. Benefits are payable in the event that the insured is unable to work as a result of accident, sickness or involuntary unemployment. Policyholders who are self employed at the date the claim is made will not be eligible to receive any benefits.

The level of benefit is fixed and is selected by the policyholder at the outset from a range of specified options. As a policy condition, the amount of benefit actually payable is restricted so as to be no more than the corresponding mortgage payment during a claim period.

The insurance company operates the policy with the following features:

- The insurance cover is sold separately from and is not tied to any particular mortgage product.
- The level of benefit selected at the outset can only be changed on the written request of the policyholder. Premiums payable are then adjusted accordingly.
- The premiums and benefits are payable monthly.
- The policy renews automatically each year until the end of the term selected at the outset by the policyholder.
- The premium rates can be varied by the insurer at each policy anniversary provided that at least 3 months' notice is given.
- Once the policy is in force, there is no regular communication with policyholders unless a premium change needs to be notified.

CA1-P1 | September 2010 | Q4 - continued

Current topic | 12 marks total | Original PDF p3

Related: Ch 22.

- Claims or changes to the level of benefits are effective from the date that the insurance company receives written notification with no back-dating permitted.
- (i) Discuss whether any of the features of the policy are potentially unfair to customers. [9]
- (ii) Outline any changes that could address the issues identified in (i) above. [3]
[Total 12]

CA1-P1 | September 2014 | Q6

Current topic | 18 marks total | Original PDF p3

Related: Ch 8.

- 6** (i) List the principal aims of regulation of financial markets. [2]

In a developed economy, the Reference Interest Rate is calculated each week based on information provided by the four largest retail banks over the previous seven days. By law, the interest offered on any personal savings account, or charged on any personal loan or mortgage, must be equal to the Reference Interest Rate plus a fixed amount specified at the outset of the contract. While not a legal requirement, the interest charged on most business loans is also set in the same way.

There have recently been concerns that information provided by the four largest banks may have been falsified resulting in the Reference Interest Rate being declared at the wrong level.

- (ii) Discuss reasons why the Reference Interest Rate may, or may not, be regulated. [5]

- (iii) Outline aspects of the Reference Interest Rate that could be regulated. [4]

A politician has suggested that the Reference Interest Rate should be abolished. She thinks it should be replaced by an alternative interest rate set annually by an independent government agency.

- (iv) Discuss the advantages and disadvantages of this suggestion. [7]
[Total 18]

CA1-P1 | September 2016 | Q3

Current topic | 11 marks total | Original PDF p2

Related: Ch 24.

- 3**
- (i) Define the terms:
- (a) systematic risk
 - (b) specific risk
- [2]
- (ii) A government is concerned that consumers of financial services are exposed to significant risks because the way financial markets operate could lead to the failure of financial service providers.
- Discuss the range of measures the government could take to improve protection for consumers of financial services.
- [9]
- [Total 11]

CA1-P1 | September 2018 | Q6

[Current topic](#) | [18 marks total](#) | [Original PDF p3](#)

September 2018 main paper, recovered from the supplied archive; the extracted folder had contained the spare paper under this date.

- 6**
- (i) State the principal aims of regulation. [2]
 - (ii) Describe the areas of an insurance company's operation that may be regulated. [8]
 - (iii) Discuss the challenges that exist for the regulator in regulating insurance companies. [8]
- [Total 18]

CP1-P1 | September 2020 | Q9

Current topic | 20 marks total | Original PDF p4

Examiner report and original paper: use the links for this question in [index.html](#).

- 9** A number of countries are members of a union where member countries can access each other's markets. In return, member countries follow a consistent set of regulations governing, among other things, financial services.
- Country F, a developed country that has been a member of the union for many years, has recently decided to leave the union. The government of Country F is proposing a full review of its regulations, including for financial services.
- (i) Outline the principal aims of regulation of financial markets. [2]
 - (ii) Describe possible regulatory regimes the government of Country F could consider implementing. [3]
 - (iii) Suggest an advantage and a disadvantage of each of the regimes identified in part (ii). [3]
 - (iv) Outline the potential risks to the domestic financial services industry that Country F faces as a result of changing its regulatory regime now. [4]
 - (v) Discuss why the countries remaining in the Union might be concerned about any changes to Country F's regulatory regime. [4]
 - (vi) Suggest how the countries in the Union might seek to mitigate any risks in relation to (iv) and (v). [4]
- [Total 20]

CP1-P1 | April 2021 | Q1

Current topic | 5 marks total | Original PDF p2

Related: Ch 7.

- 1** Suggest, with reasons, types of insurance that the government of a country may require its citizens to hold. [5]

CP1-P1 | April 2022 | Q1

[Current topic](#) | [5 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** In a developing country, the market for life assurance and savings products is currently unregulated. The regulator is about to introduce a new regulatory regime for this market, and has chosen a regime that allows freedom of action of the life assurance companies but prescribes the outcomes that will be allowed.

Discuss the suitability of this regime for the stated market. [5]

CP1-P1 | September 2024 | Q1

[Current topic](#) | [5 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** The insurance industry in a developed country has, for many years, been subject to regulations that require insurance companies to treat their customers fairly. The regulator has proposed a change to the treating customers fairly regulations that will impose a higher standard of customer care on insurance companies.

Discuss why the regulator may have made this proposal. [5]